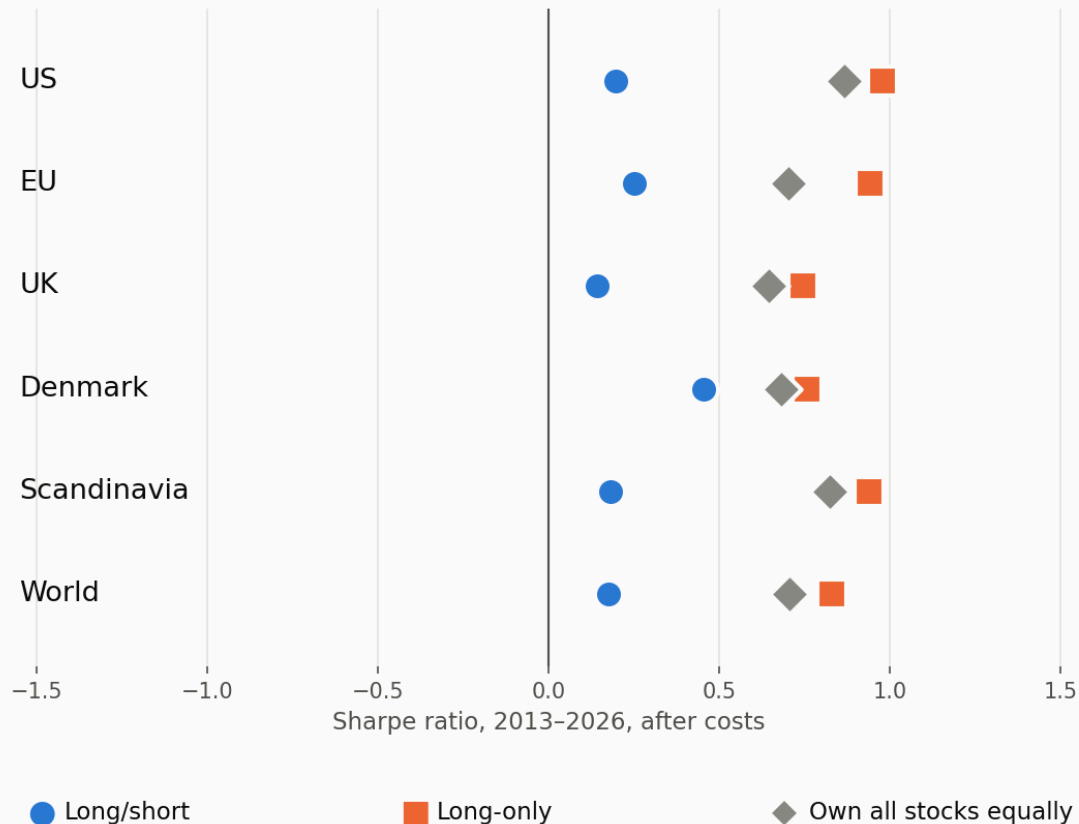


Residual momentum

Momentum without the market's ups and downs



Long/short positive in all six markets; long-only beat owning all stocks in all six.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Ranking stocks on the part of their past return that the market does not explain gives a momentum strategy with about half the volatility and far smaller crashes than plain momentum (Blitz, Huij & Martens 2011, US 1930–2009).

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (stocks with the strongest stock-specific trend minus the weakest): +1.9% to +7.9% a year, positive in all six markets. Adjusted for market beta: +4.3% to +10.7%.

Long-only (stocks with the strongest stock-specific trend): a better Sharpe than owning all the stocks equally in all six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from 0.52 to 0.57.

360° view: once its nearest neighbours are in the model, nothing is left: the signal is redundant.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs11-residual-momentum>

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